

# Managing risk

POLICY

**The ultimate goal of a successful risk management programme is to improve patient care and reduce the cost of medical malpractice**

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**R**isk management is defined as the systematic process of identifying, evaluating and addressing potential and actual risks. Although introduced to the healthcare industry nearly a decade ago, its status in Indian hospitals remains uncertain. Healthcare organisations, by their very nature, are fraught with risks. And in recent years, huge compensation for medical negligence along with increased regulatory requirements have forced healthcare organisations to expend significant resources to address risk, and shareholders in turn have begun to scrutinise whether healthcare organisations had the right controls in place.

**T**HERE are various risks facing a healthcare organisation. These risks can be grouped into the following risk domains:

**Operational:** These risks are derived from an organisation's core business. Examples:

1. Adverse effects/ Sentinel events.
2. Delay in diagnosis.
3. Drug related error.
4. Wrong patient error.
5. Increased billing.

**Financial:** These risks are related to an organi-

sation's ability to earn, raise, or access capital.

*Examples:*

1. Pilferage.
2. Reduction in market share.
3. Employee fraud.
4. Bad debts.
5. Changes in interest rates.
6. Being overly reliant on a single customer.

**Human:** These risks are human resource management issues.

*Examples:*

1. High staff turnover.
2. Compensation.
3. Sabotage and strike.
4. Compensation.
5. Rising manpower cost.

**Strategic:** These are risks related to an organisation's ability to grow and expand through mergers, joint ventures and the likes. *Examples:*

1. Changes in customer demand.
2. New technology or practices.
3. New competitors.

**Legal/Regulatory:** These are risks associated with statutory and regulatory compliance.

*Examples:*

1. Penalties due to legal and regulatory non-compliances.

2. Personnel indulging in criminal/unethical conduct.

3. Consumer compensation claim.

**Technological:** These are risks associated with the use of biomedical and information technology.

*Examples.*

1. System failure.
2. Security.

**S**o, how to implement risk management? Every person in an organisation should recognise his or her responsibilities to patient safety and works to improve the care that they deliver. No doubt that mistakes and incidents will happen, and that healthcare is not without its risks. But evidence shows that if an organisation is safety conscious and people are encouraged to speak up about mistakes and incidents, then patient safety and patient care is improved. A just culture, as defined by James Reason, is one that supports the discussion of errors so that lessons can be learned from them.

The recommendation for building a safe healthcare system from James Reason are:

**Principles:** Safety should be everybody's business. The top management should be proactive towards improving safety-

-seeking out error traps, eliminating error producing factors, brainstorming new scenarios of failure.

**Policies:** Management should discourage finding fault with the person and process should be identified responsible for deficiency. Top managers should create a reporting culture. Safety related information should have direct access to the top management. Meetings on safety should be attended by staff from many levels and departments. **Procedures:** Organisations should develop protocols on important activities. Procedures must be intelligible, workable, and available. Training in the recognition and recovery of errors should be provided. **Practices:** Organisations should ensure that rapid, useful, and intelligible feedback on lessons learnt and actions needed.

And when mishaps occur, the administrator should acknowledge, apologise and amend. The administrator should convince patients and victims that lessons learned will reduce chance of recurrence.

**T**he commitment of top management for safe health care delivery is essential for the Success of risk management programme. To show that safety is a priority and that the management of the organisation is committed to improvement, leaders must be visible and active in leading patient safety improvements.

One needs to ensure that risk management is integrated with organisation's regular activities. It is important to align all categories of staffs in the process of risk management. Housekeeping to the head of institution, all are aware, committed and enthusiastic to identify, analyse and manage all potential risks. The Success of risk management programme is dependant on reporting culture of organisation. Top management should make organisation reporting friendly.

Suggestions to increase reporting are:

- Make it simple to report, and communicate it widely.
- Ensure timely and valuable feedback.
- Provide training on the process of reporting.

- Disseminate safety information through newsletters, local intranet sites, presentations, safety focus meetings, safety briefings, executive walkabouts/drive-about etc.
- Highlight Success stories, good practice and improvement tips.
- Ensure clinical and managerial leadership Support.
- Provide a 'reporting pack' of background information, key contacts, roles and responsibilities, example feedback reports, patient safety definitions, etc.
- Evaluate the process.

### The seven steps to patient safety

|                     |                                                  |
|---------------------|--------------------------------------------------|
| Step <sup>1</sup> 0 | Build a culture of safety.                       |
| Step <sup>2</sup> 0 | Lead and support your staff.                     |
| Step <sup>3</sup> 0 | Intergrate your risk management activity.        |
| Step <sup>4</sup> 0 | Promote reporting.                               |
| Step <sup>5</sup> 0 | Involve and communicate with patient and public. |
| Step <sup>6</sup> 0 | Learn and share safety lessons.                  |
| Step <sup>7</sup> 0 | Implement solutions to prevent harm.             |

**L**iterature reveals that involving and communicating openly with patients, their relatives, their care taker and the public is essential to improving patient safety. The risk of health problems decreases when patients take responsibility for their own lifestyle, safety and health. If a patient is harmed when things go wrong, they can offer insight into the reasons for the problem and inform solutions to prevent the incident recurring. To enable this to take place, the health service must be open and receptive to engaging with patients. Well-informed decision by patient and their family on potential risk should be ensured. Knowing what might go wrong can help patients play their part in managing and avoiding risks.

**T**he approach known as 'Speak Up' was developed by the US Joint Commission on Accreditation of Health Organisations.

**S**peak up if you have any questions or concerns and if you don't understand.

**P**ay attention to the care you are receiving and make sure you are receiving the right treatment and medication.

Educate yourself about your diagnosis and treatment.

**A**sk a trusted family member or friend to be your advocate.

**K**now what medicines you are taking and why.

Understand more about your hospital.

Participate in all decisions around your treatment.

It is essential that healthcare organisations look at the underlying causes of patient safety incidents and learn how to prevent them from happening again. It is recommended in literature that adopting the following procedures can help ensure lessons learned and effect a change in culture and practice.

**Stage 1:** Understand the problem and identify the changes that need to be made.

**Stage 2:** Identify potential solutions.

**Stage 3:** Risk assess solutions.

**Stage 4:** Pilot and learn.

**Stage 5:** Implement.

The development of hospital risk management prevention programmes will lead to improved patient care and reduce the number and cost of future medical malpractice actions. An effective risk management programme must gear itself toward improving patient care through identifying and reducing hospital risks. This, in turn, will tend to reduce mortality and morbidity. And, in time, it will reduce the number of claims filed against the hospital, as well as decrease the liability in each case. The ultimate goal of a successful risk management programme is to both improve patient care and to reduce the cost of medical malpractice for the institution. ☐



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